



Risk Register 2024

Thames Water UPS (Closed Section)

Funding Risks

Risk	Likelihood	Impact	Score	Owner
Adverse investment returns relative to liabilities	Medium	Med-High	8	Investment Ctte
Interest rate and inflation movements	Low-Med	High	5	Investment Ctte
Longevity improvements beyond assumptions	Low-Med	Medium	15	Administrator
Member option take-up variations	Med-High	High	13	Administrator

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Covenant Risks

Risk	Likelihood	Impact	Score	Owner
Sponsor financial deterioration	Med-High	Med-High	12	Trustee
Corporate restructuring or disposal	Low-Med	Medium	12	Trustee
Dividend policy changes	Medium	Med-High	4	Trustee

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Investment Risks

Risk	Likelihood	Impact	Score	Owner
Counterparty failure in LDI arrangements	Med-High	High	7	Sponsor
Liquidity shortfall under stress	Low-Med	High	12	Trustee
Manager underperformance	Medium	Med-High	7	Trustee

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Operational Risks

Risk	Likelihood	Impact	Score	Owner
Administrator errors or delays	Medium	High	8	Investment Cttee
Data quality degradation	Low-Med	Medium	6	Administrator
Cyber and information security	Medium	High	9	Trustee

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Legal & Regulatory Risks

Risk	Likelihood	Impact	Score	Owner
GMP conversion complexity	Medium	Med-High	5	Investment Ctte
Changes to tax regime for pensions	Low	Med-High	9	Trustee
New Funding Code compliance	Low	High	12	Investment Ctte

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Member Outcomes Risks

Risk	Likelihood	Impact	Score	Owner
Member communications breakdowns	Low	Medium	12	Administrator
Complaints and IDRP escalations	Med-High	Med-High	9	Investment Ctte
Safeguarding vulnerable customers	Med-High	Medium	7	Investment Ctte

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Transaction Risks

Risk	Likelihood	Impact	Score	Owner
BPA pricing volatility	Med-High	High	7	Investment Ctte
Insurer capacity and selection	Medium	High	15	Sponsor
Transfer documentation errors	Low	Med-High	9	Administrator

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Climate Risks

Risk	Likelihood	Impact	Score	Owner
Transition risk on strategic allocation	Low-Med	Medium	4	Trustee
Physical risk on property holdings	Low-Med	Medium	4	Investment Ctte
TCFD reporting completeness	Low	Medium	15	Investment Ctte

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Governance Risks

Risk	Likelihood	Impact	Score	Owner
Trustee board composition and skills	Low-Med	Med-High	6	Investment Ctte
Adviser rotation and independence	Low-Med	High	12	Trustee
Conflict of interest management	Medium	Med-High	4	Administrator

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